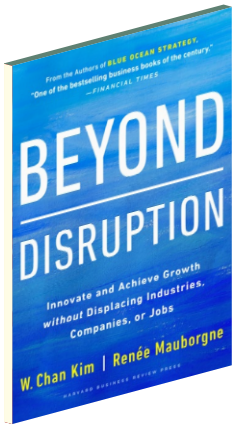
Reading Time: 10 minutes

Book Summary:

Beyond Disruption — Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs by W. Chan Kim and Renée Mauborgne

What if you could innovate and grow — creating new industries, new jobs, and profit — without displacing a single company, community, or worker?



For decades, innovation has been almost synonymous with disruption: the new wins by destroying the old. In Beyond Disruption, Blue Ocean Strategy authors W. Chan Kim and Renée Mauborgne lay out a path with less destruction and more hope — where economic and social good are not trade-offs but move in lockstep. They call it nondisruptive creation: unlocking new markets outside existing industry boundaries, generating growth without the shuttered companies, hurt communities, or lost jobs that disruption leaves in its wake.
The timing matters: as AI threatens to displace work on an unprecedented scale, the question for leaders is no longer only "How do we disrupt?" but "How do we grow without leaving social pain behind?"

> *"Nondisruptive creation allows us to innovate and grow without disruption and social pain."*

The other side of the coin. Want the full spectrum of market-creating innovation? Pair this summary with our Book Summary of The Innovator's Dilemma by Clayton M. Christensen — the definitive work on disruption. Read it here!

About the Book

Published by Harvard Business Review Press in 2023, *Beyond Disruption* builds on the authors' global bestseller *Blue Ocean Strategy* — translated into more than 40 languages and sold in the millions — extending it from how to create new market space to how to do so *without destroying existing industries and jobs*. Where *management* thinking has been gripped by a near-obsession with disruption, this book offers its hopeful counterpart.

About the Authors

W. Chan Kim and Renée Mauborgne are professors of strategy at INSEAD and co-directors of the INSEAD Blue Ocean Strategy Institute. Their three-decade research partnership produced *Blue Ocean Strategy* (2005) and *Blue Ocean Shift* (2017), and they are consistently ranked among the world's most influential management thinkers.

Part One — Nondisruptive Creation: What It Is and Why It Matters

Chapter 1 — Innovation and Growth Without Disruption

Disruption, as it is commonly understood, occurs when an innovation creates a new market that **displaces** an existing one and the established players in it. Displacement is the operative word: without it, there is no disruption. Nondisruptive creation sits at the opposite end of the market-creating spectrum. It generates a brand-new market outside or beyond existing industry boundaries — so the new is achieved without dismantling the old.

The concept has three distinctive characteristics:

- It can spring from a scientific or technology-driven invention, from a new application of existing science or technology, or from a new combination of existing technologies.
- It is not bound to any region or income level. It works in developed markets and bottom-of-the-pyramid markets alike.
- It is not the same as new-to-the-world innovation, which can just as easily be disruptive as nondisruptive.

Hidden in plain sight. The term is new; the phenomenon is not. Nondisruptive creation is a fact of business life — past, present, and future — and it applies to for-profits, nonprofits, the public sector, even governments.

From Blue Ocean Strategy to nondisruptive creation. The authors' journey began in the mid-1980s, studying how to compete in existing industries. Analyzing 150 strategic moves across more than 30 industries and over a century, they identified two patterns: red ocean strategy (competing in crowded existing markets) and blue ocean strategy (creating new market space). Nondisruptive creation extends that lineage — and, as economist Paul Romer's Nobel-winning work showed, market-creating innovation sits at the very heart of economic growth.

Did You Know...? Nobel laureate Paul Romer has been a WOBI speaker! Discover his ideas on *How Leaders Can Fuel Growth in a World with Finite Resources*

Disruptive creation	Blue ocean strategy	Nondisruptive creation
New markets are created within existing industry boundaries	New markets are created across existing industry boundaries	New markets are created outside existing industry boundaries
All or most demand shifts from existing markets to the new one	Demand is partly brand new and partly drawn from existing markets	All or most demand created is brand new
Generates significant disruptive growth	Generates a blend of disruptive and nondisruptive growth	Generates mostly nondisruptive growth

Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

Chapter 2 — The Economic and Social Impact of Nondisruptive Creation

Disruption brings real economic gains: it raises consumer surplus, reallocates resources to better uses, and pushes surviving companies to up their game. Over time, the total demand it creates tends to exceed the demand it transfers away — so aggregate growth is generally positive. The problem lies elsewhere. Even when the economic cost of displacement is small, the social cost can be enormous: shuttered firms, lost jobs, hurt communities, and the erosion of trust between winners and losers — all of which destabilize society.

Nondisruptive creation changes the equation. Because it builds new market space rather than displacing existing players, it produces a positive-sum outcome: there are winners (the creator and consumers) and no evident losers. Growth arrives without social pain — and the gain in employment is positive from the start.

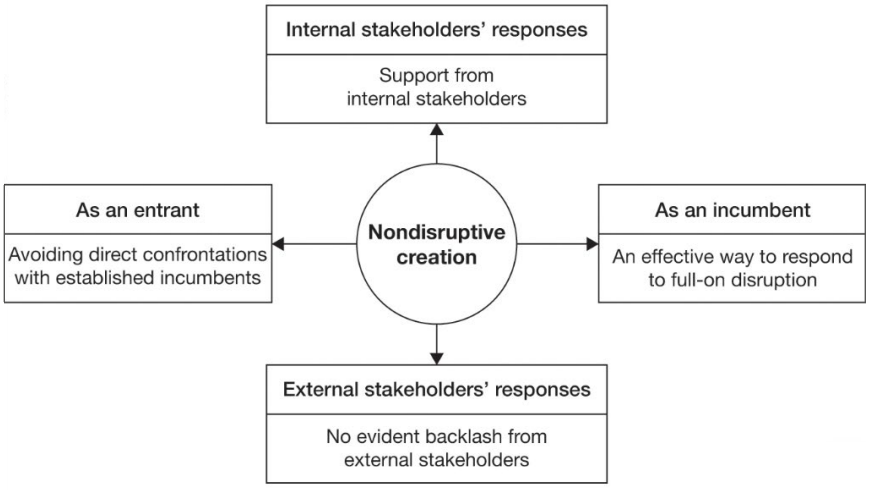
	Disruptive creation	**Disruptive creation**
Micro level	Growth through displacement and expansion of existing market space	Growth through the creation of new market space beyond existing industries
Meso level	Produces a win-lose outcome	Produces a positive-sum outcome (winners: the creator and consumers; losers: none evident)
Macro level	Incurs social adjustment costs: closures, lost jobs, hurt communities	Incurs no evident social adjustment cost, as there is no displacemente
Net effect	Disruptive growth with social pain; net economic gain positive over time	Nondisruptive growth without social pain; gain in growth and jobs positive from the start

Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

The deeper shift the authors invite is one of mindset: from fear to hope, from scarcity to abundance. Believing we can create and grow without destroying others rests on the conviction that creation can be positive-sum — not a fear-based, win-lose game.

Chapter 3 — The Four Sources of Business Advantage

Economic and social impact aren't the only things that matter; so does an organization's ability to execute. Disruption has one built-in advantage — a clear target of known size, with a demonstrated willingness to pay. Nondisruptive creation can look harder precisely because it happens where no such target yet exists. But it carries its own powerful advantages, from four sources:



Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

- **As an entrant: avoiding direct confrontation with established incumbents.** Whether a startup or an established organization entering a new space, you can bypass big incumbent players — with their significant resources and reach — rather than confront them head-on.
- **As an incumbent: an effective way to respond to a full-on disruptive threat.** When challenged by a disruptor, nondisruptive creation opens a nonconfrontational path to seize new growth.
- **Internal stakeholders: support from within.** Nondisruptive creation is emotionally and politically easier for an incumbent's internal stakeholders to get behind.
- **External stakeholders: no evident backlash**. While disruptive creation tends to increase conflicts with social interest groups and governments, nondisruptive creation largely sidesteps these challenges.

Avoiding direct confrontation: a cautionary tale. MoviePass set out to disrupt cinemas with an all-you-can-watch subscription at $9.99 a month — roughly the price of one ticket. Moviegoers were thrilled, and by April 2018 its base had soared to about 3 million. But theater owners fought back: AMC publicly feuded with the company, threatened to close its doors to subscribers, and by June 2018 had launched its own service, AMC Stubs A-List, soon copied by Regal and Cinemark. Burning millions a month to subsidize its price and stripped of bargaining power, MoviePass ran out of cash and shut its subscription service in September 2019. The question its story poses: do you really want to confront well-entrenched incumbents head-on?

The nondisruptive alternative. Square saw what the US credit-card industry had ignored: small merchants, food trucks, market vendors, and the self-employed couldn't accept cards because existing point-of-sale technology was too costly and complex. Its Square Reader — a small device that plugs into a phone — opened a brand-new market without taking share from anyone. GoPro did the same for action cameras, letting sports enthusiasts film their own first-person adventures, hands free, with a rugged, waterproof, mountable camera. As GoPro grew into a billion-dollar company, did the deep-pocketed DSLR giants attack it? No. Its rise didn't cut into their industry, so no Goliath felt threatened.

"Next time you confront a disruptive threat, don't assume your only option is to disrupt back."

Responding to full-on disruption. Fighting fire with fire is one way to meet a disruptive threat — and it may work. But it isn't the only way: broaden your thinking to embrace nondisruptive creation as well.

Support from internal stakeholders. Nondisruptive creation doesn't challenge the existing order or the livelihoods built on it, and it doesn't mean killing the revenues that investors, employees, and Wall Street depend on. That makes it far easier for leaders to champion, and far easier to manage the organizational politics, anxieties, and shareholder expectations that disruption inflames.

No evident backlash from external stakeholders. Because disruption displaces players and often bends industry rules, it invites lobbying, regulation, and resistance from governments, interest groups, and the media — consuming the disruptor's time, raising its costs, and constricting its growth. Nondisruptive creation largely avoids this.

Think it isn't possible in your industry? Think again. If new markets could be created in finance — one of the most competitive and tightly regulated industries on earth — the opportunity is far broader and more achievable than most of us assume. Pursuing it can unlock multimillion- and multibillion-dollar markets, sometimes as large as a company's existing business.

Chapter 4 — The Rising Importance of Nondisruptive Creation

For the past fifty years, capitalism has been shaped by Milton Friedman's theory of shareholder primacy — the idea that a firm's purpose is to create value for its shareholders. That view has delivered enormous economic benefits, and it also rested on a presumed trade-off between economic gain and social good. Today, expectations are evolving: customers, employees, and investors increasingly want companies to pursue both — to grow while being mindful of their broader impact on society. Historically, firms have answered that call mainly through corporate social responsibility initiatives and charitable giving. The authors suggest going a step further: rather than treating social good and shareholder interests as separate, integrate the two — bringing us closer to a socially responsible form of capitalism in practice. After all, people want to believe the company they work for improves lives without harming others'.

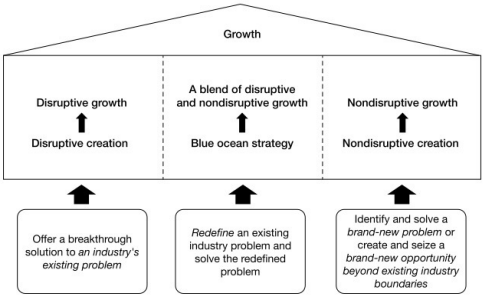
The double-edged sword. Smart machines and AI promise extraordinary efficiency — but they will deliver it by replacing a vast swath of human jobs. Never before has a technological revolution been capable of displacing so much human labor and brainpower at once. Oxford Economics estimates smart machines could displace around 20 million manufacturing jobs worldwide within a decade. And it isn't only low- and middle-skill work: high-end roles are at stake too, as algorithms already outperform human traders on Wall Street. Companies face a stark choice — modernize or become irrelevant.

Where will the new jobs come from? If released human capital can't find new work, the social, economic, and psychological fallout will be severe. As Daniel Susskind argues in A World Without Work, today's technologies threaten jobs in ways earlier revolutions never did. Retraining is part of the answer — but the deeper challenge is to **create new jobs that don't displace others.** That is an economic and moral imperative, and it is exactly why nondisruptive creation is poised to grow in importance. Companies can channel some of the capital freed by the productivity leaps of the fourth industrial revolution into nondisruptive creation — without redirecting it away from existing uses. The number of jobs lost and created is not predetermined: it depends on the choices we make and the policies we apply.

Chapter 5 — The Three Paths to Market-Creating Innovation and Growth

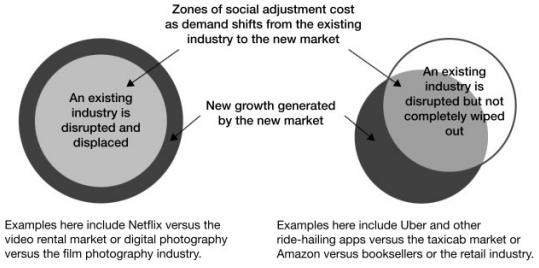
The law of cause and effect applies to innovation as much as anywhere: to be intentional, you first need to understand what triggers one type of market-creating innovation over another. The authors' research revealed three paths:

- Offer a breakthrough solution to an industry's existing problem.
- Redefine an industry's existing problem and solve the redefined version.
- Identify and solve a brand-new problem, or create and seize a brand-new opportunity beyond existing industry boundaries.



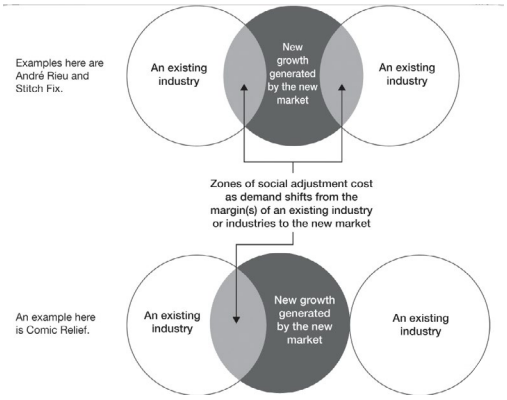
Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

The path to disruptive creation. When an organization solves an existing industry problem in a breakthrough way, it strikes at the core of established firms — and the new displaces the old within the industry's boundaries. CDs displaced cassette tapes by better solving the same problem: how to store and replay sound. Sometimes displacement is near-total; sometimes partial — Uber has shrunk the taxi market dramatically without erasing it entirely.



Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

The path to nondisruptive creation. Here the questions change: Are there brand-new problems we can solve beyond existing boundaries? Brand-new opportunities we can unlock outside them? When focus shifts this way, you see markets that eat at neither the margins nor the core of established players — so virtually all the demand created is new. And not every opportunity comes from a problem: some come from spotting newly emerging value. E-sports, for instance, addresses an aspiration rather than a pain — and required no new-to-the-world technology to take off.



Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

Part Two — How to Realize Nondisruptive Creation

Chapter 6 — Lead with the Right Perspectives

Business has long been sold three ideas: analyze what is to define what could be; treat technology as the key to market creation; and place the lone, gut-instinct entrepreneur at the heart of innovation. Reasonable — but, the authors argue, they are the cart, not the horse. People who generate nondisruptive creation lead with three different perspectives.

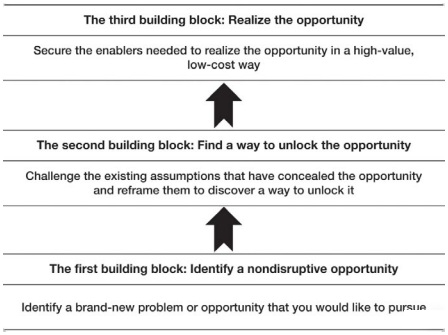
- **Flip your mental script (agency over structure).** Rather than starting with the chessboard of existing reality, nondisruptive creators start with their imagination — "the magic between their ears" — to envision what could and should be, regardless of what is. Freed from the bounded rationality of the world as it is, they ask Why not? What if? and see what others can't.
- **Don't confuse the means with the ends (value innovation first).** Technology is a powerful enabler, but it isn't the point. What makes a new market take off is a step change in value for buyers. Nondisruptive creators think value innovation first, and then technology.
- **Unlock the many, not only the few.** Ever since Schumpeter put the entrepreneur on a pedestal, we've worshipped the lone "creative" — and unintentionally narrowed our view of where ingenuity comes from. It takes a network of people with different perspectives and skills to bring a nondisruptive creation to life. The wisdom of crowds matters as much as the gifted individual.

Conventional perspectives	Nondisruptive perspectives
The existing market and environment set the stage for what's possible; agency is constrained by structure	Lead with agency over structure; imagine and create brand-new opportunities beyond the world as it is
Technology innovation is the path to market creation; technology is the focus	Think value innovation first, then seek enablers like technology to deliver it
Entrepreneurs and "creatives" are the central drivers of market creation	Gifted individuals and the wisdom of crowds both matter in creating new markets

Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

Chapter 7 — Identify a Nondisruptive Opportunity

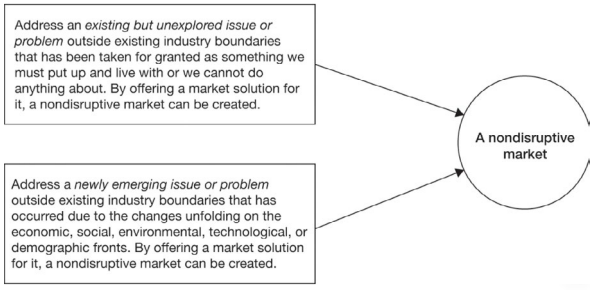
From thought to action. The research surfaced three building blocks common to those who create and capture a nondisruptive market: **identify** the opportunity, **unlock** it by reframing the assumptions that concealed it, and **realize** it in a high-value, low-cost way.



Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

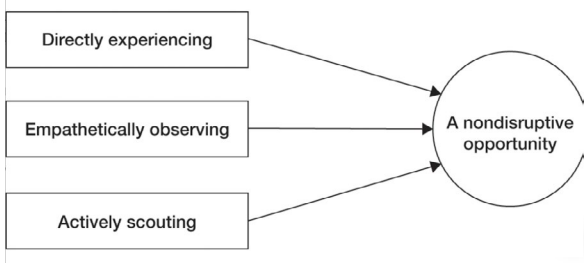
Start with clear intention and passion. A clear intention keeps your mind focused on nondisruptive creation, so you don't unconsciously slip back into "compete and disrupt." Passion sustains the drive to persist through the inevitable stumbles of any act of creation.

Two avenues. One is to address an existing but unexplored issue — a problem so long accepted as "the way things are," or so discredited by an earlier failed attempt, that no one tried again. The other is to address a newly emerging issue thrown up by socioeconomic, environmental, demographic, or technological change.



Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

Assess and frame. Ask who, besides you, cares about this problem — and gauge both its market potential and its impact potential. Then frame the opportunity in a grounded, motivating way: too broad and you'll be overwhelmed; well-scoped and your team can see it as feasible and worth taking on.

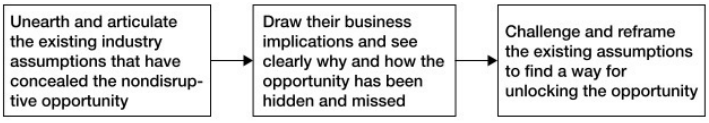


Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

"Dream big, but start small."

Chapter 8 — Find a Way to Unlock the Opportunity

Begin by understanding why the opportunity has gone unaddressed. That means unearthing the assumptions held by the industry that should, in theory, have spotted and acted on it — and then challenging and reframing them. The guiding question: What industry should address this issue, and why hasn't it?

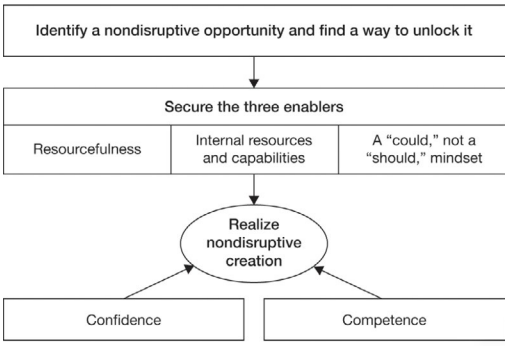


Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

To do this rigorously, the authors offer the **assumption-implication analysis** — a one-page tool that surfaces the implicit and explicit assumptions of the industry that overlooked your opportunity, and draws out their business implications. Two cautions: don't adopt others' assumptions as your own, and prepare for discouragement from the pundits.

Chapter 9 — Realize the Opportunity

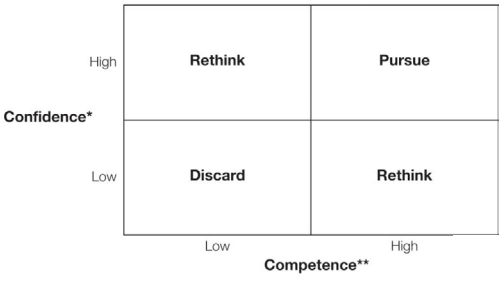
The third building block turns a validated opportunity into reality — in a high-value, low-cost way — through three enablers.



Source: W. Chan Kim and Renée Mauborgne, Beyond Disruption: Innovate and Achieve Growth without Displacing Industries, Companies, or Jobs (Harvard Business Review Press, 2023). Reproduced from the original work.

- **Resourcefulness.** Creatively leverage the world's constellation of knowledge, expertise, and capabilities — even without owning them. Start by searching out who already knows what you don't; look to other industries and parallel situations for clues; and tap talent and resources outside your team through formal or informal partnerships. This lets you achieve far more than your own resources allow — faster, cheaper, and often with greater expertise.
- **Internal resources and capabilities.** Combine the tangible (technology, capital, facilities) and intangible (design, coding, brand, teamwork, know-how) assets you already hold — or can build or acquire — to deliver high value at low cost.
- **A "could," not a "should," mindset.** "Should" is daunting and constraining; it freezes the imagination by demanding the answer, and shuts off options before they're spoken. "Could" energizes — it asks for possibilities, not certainties, giving you permission to think far and wide and turn over unexpected stones.

Confidence and competence. Competence comes not only from internal resources but from resourcefulness and mindset. Confidence means your people are intellectually and emotionally behind the opportunity and committed to act. When competence meets confidence, the opportunity is on track to succeed; one without the other raises your risk.



The confidence-competence map plots competence (x-axis) against collective confidence (y-axis) across four quadrants. Develop your ideas until they reach the "**pursue**" quadrant; if they sit low on both, "**discard**" and move on. Most ideas, the authors note, start in one of the two "**rethink**" quadrants — and that's exactly where the work of refinement happens.

Chapter 10 — Build a Better World Together

Nondisruptive creation opens a path for all of us to innovate and grow without displacing industries, companies, or jobs — by solving brand-new problems and seizing brand-new opportunities beyond existing boundaries, whether long-existing but unexplored or newly emerging. The authors offer not a perfect formula, but the start of a fresh conversation and the patterns their research revealed.

> "The world is what we make it."

As the global economy thirsts for growth while a new wave of technologies threatens to displace core markets and jobs, nondisruptive creation can act as a counterbalancing, socially stabilizing force. The question is not whether these problems will be solved or these opportunities created — but who will bring us that future, and whether they will do it in a way that creates prosperity for business and society at once.

Editor´s note

At WOBI, we spend our days distilling the ideas that help leaders build what's next — and few books reframe "what's next" as profoundly as this one. For a generation, we have been taught that progress means breaking things: move fast, disrupt, let the old fall so the new can rise. Kim and Mauborgne don't deny the power of disruption; they simply refuse to accept it as the only path. Their quiet, radical proposition is that creation can be additive rather than subtractive — that we can build the new without burning down the old.

It's a message that lands hard in an age of AI anxiety. The most striking takeaway isn't a tool or a framework (though the book offers plenty); it's a shift in posture — from scarcity to abundance, from fear to hope. The leaders who internalize it won't ask only "What can we disrupt?" but "What can we create that leaves no one worse off?" In a world hungry for growth that doesn't tear communities apart, that may be the most valuable question a leader can learn to ask.

If you liked this book, you may also enjoy...

- The Innovator's Dilemma by Clayton M. Christensen — the essential counterpart: where this book maps growth without displacement, Christensen explains why and how disruption topples great firms.
- The Black Swan by Nassim Nicholas Taleb — a complementary lens on uncertainty, fragility, and preparing for what we can't predict.

Plus, more WOBI Book Summaries

- Failing Forward: Turning Mistakes into Stepping Stones for Success by John C. Maxwell
- The Good Luck by Álex Rovira y Fernando Trías de Bes
- Atomic Habits by James Clear
- Dare to Lead - Brené Brown
- The 7 Habits of Highly Effective People by Stephen R. Covey
- Presence by Amy Cuddy
- How to Win Friends and Influence People by Dale Carnegie

The written, audiovisual, and/or audio content presented in this section is an editorial production independently created by WOBI, separate from the author(s) of the mentioned work(s), and does not necessarily reflect the opinions, beliefs, or viewpoints of said author(s). This material is intended for informational, educational, critical, and literary analysis purposes and is produced in compliance with current intellectual property laws, including the principle of fair use. Reviews, summaries, opinions, recommendations, and other expressions contained in this space are made with proper attribution and do not infringe upon the intellectual property rights of the author(s) or any other party associated with the work(s) in question. Any quotations or excerpts are used for analysis, criticism, discussion, commentary, or review purposes and are appropriately cited, adhering to fair use regulations. All content presented here is produced without profit. All rights to the content of the mentioned or referenced work(s) in this section belong exclusively to their respective copyright holders.